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Last week: **DJIA** 47954.99 ▲ 238.57 0.50% **NASDAQ** 23578.13 ▲ 0.9% **STOXX 600** 578.77 ▲ 0.4% **10-YR. TREASURY** ▼ 31/32, yield 4.138% **OIL** \$60.08 ▲ \$1.53 **EURO** \$1.1645 **YEN** 155.37

What's News

Business & Finance

◆ **American households** are nearing the end of the year feeling a lot more dour about the economy than they did at the beginning, even as they keep spending. **A1, A4**

◆ **Trump said Netflix's** deal to acquire Warner Bros. "could be a problem" because of the market share the buyer would gain, signaling possible resistance to the sale. **B1**

◆ **IBM is in advanced talks** to buy data-infrastructure company Confluent for about \$11 billion. **B1**

◆ **Target is testing** new fulfillment models for overnight delivery of online orders as the retailer works to reverse a yearslong sales slump. **B1**

◆ **AI job losses are coming**, even the most upbeat tech executives say, but they differ on which roles are most likely to be overtaken. **B4**

◆ **Meta Platforms said it** bought Limitless, a maker of wearable artificial-intelligence devices. **B3**

◆ **Ad spending will grow** more than predicted in 2025 because tariffs didn't take as big a bite as expected and AI provided a boost, a new forecast from WPP Media projects. **B3**

◆ **The Defense Department** is looking to private investment and startups to close a gap with China and Russia in hypersonic weapons. **B8**

◆ **The Transportation Department** waived an \$11 million payment imposed on Southwest Airlines related to its 2022 holiday meltdown. **B3**

World-Wide

◆ **Trump's firing spree** at federal agencies has snowballed into a Supreme Court showdown about how modern American government should work, with the independence of experts at stake. **A1**

◆ **The Ukraine war derailed** Russia's once-lofty ambitions for artificial intelligence as the U.S. and China race to dominate the technology and other countries build out infrastructure. **A1**

◆ **Defense Secretary** Hegseth defended the U.S. military's decision to kill two survivors of a lethal strike in the Caribbean in a follow-up attack on the capsized boat. **A3**

◆ **Thailand said** its aircraft struck military targets in Cambodia after renewed clashes along the countries' disputed border. **A9**

◆ **Chinese warplanes** locked radar on Japanese military aircraft in the seas near Okinawa in incidents Tokyo said were dangerous acts. **A9**

◆ **Americans' cost-of-living** concerns have spurred a White House-wide bid to change Trump's messaging on the economy with a view to the president's and the GOP's popularity. **A4**

◆ **A group of top Trump** advisers convened to tackle soaring beef prices, as efforts are stepped up to wrangle food inflation. **A4**

◆ **Trump criticized** Henry Cuellar after the indicted congressman from Texas he pardoned last week filed for reelection as a Democrat. **A6**

◆ **The government's** pause on all asylum applications for Afghans comes close to shutting down any remaining pathway to the U.S. for its Afghan wartime allies and their dependents. **A10**

JOURNAL REPORT
Investing Monthly: How to get the most from your gift cards. **R1-6**

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Veterans Remember the Pearl Harbor Attack



MENGSHI LIN/ASSOCIATED PRESS

TRAGIC DAY: World War II veterans Leon Amstead, Robert Hartline and Milton Ripple are pictured before the 84th Pearl Harbor Remembrance Day Ceremony on Sunday in Honolulu. None of the dozen remaining survivors of the attack attended. **A6**

American Consumers Sour On the Economy's Trajectory

Sentiment nears record lows on jobs, tariffs, inflation, but spending continues

By CHAO DENG

American households are nearing the end of the year feeling a lot more dour about the economy than they did at the beginning, even as they keep spending.

High prices, a fragile job market and anxiety about President Trump's tariffs have helped drag consumer senti-

ment, as measured by the University of Michigan, down near historic lows this year. The latest numbers were slightly improved from a previous reading freighted by government shutdown disruptions, but barely.

"People are not feeling confident about the economy," said Joanne Hsu, who directs the University of Michigan Surveys of Consumers. Americans are still looking back to prices they paid before the Covid-19 pandemic and struggling to digest the increases since then.

"We haven't collectively come to grips that that is behind us," said Hsu.

The surveys are only one view of economic conditions, but they offer a consistent check of consumers' changing mood. Economists and analysts look at the results to help monitor and forecast the health of the economy.

The closely watched sentiment survey asks people how they feel now and down the road about their own financial situation and the economy as a whole. Those responses are then baked into an equation that produces a number ranging from 2 to 150.2. Higher numbers reflect a rosier outlook.

The survey shows that the nation started the year in relatively decent spirits about the economy, with a reading above 70 in January. Nearly a year later, a preliminary monthly reading released in early December showed sentiment slightly above 53.

That is better than the previous reading of 51, which was dented by the government shutdown that ended in mid-November.

The December report, based on Nov. 18 to Dec. 1 surveys, will be updated through Dec. 15 for a final reading later this

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Russia Struggles In AI Race As Others Pull Ahead

By GEORGI KANTCHEV

President Vladimir Putin has often proclaimed that Russia must lead the world in artificial intelligence. In reality, the country is stuck on the sidelines as others pull ahead.

As the U.S. and China race to dominate AI models and applications and countries in Europe and the Middle East pour resources into building computing infrastructure, the Ukraine war has derailed Russia's once-lofty ambitions.

On the Russian-language version of LM Arena where users rate AI models, the top-performing Russian model ranks 25th, trailing behind even older iterations of ChatGPT and Google's Gemini. According to Stanford University's Global AI Vibrancy Tool, which was released in November and measures the strength of countries' AI ecosystems, Russia ranks 28th out of 36 countries.

Western sanctions choked off Russia's access to critical hardware such as computer chips and hamstrung its domestic production abilities. Russian companies now depend on middlemen in third countries to secure everything from high-end chips to even a simple ChatGPT subscription. Moscow has also leaned heavily on China—further deepening what analysts already describe as an economic vassalage to its neighbor.

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INSIDE



SPORTS

Miami and Alabama are in, and Notre Dame out, as college football sets its playoff. **A16**



BUSINESS & FINANCE

Why investors are once again feeling good about the stock market. **B1**

Fantasy Football Losers Come in for Public Shaming

Finishing last can bring added burden; roadside concerts and TikTok dancing

By ROSHAN FERNANDEZ

The winner of Jason Solomonson's fantasy football league gets around \$1,000 and an engraved championship belt.

But Solomonson and others agree: Nobody cares about first place. They just don't want to come in last.

That's because the winner chooses the loser's outfit for the day of the following season's draft. When Solomonson lost, winner Matt Scheirer made him don a sumo suit with a Dallas Cowboys jersey on top—a nightmare for the fan of the Washington Com-

manders.

Another year, Scheirer had to wear a scuba suit with a roughly 50-pound weighted vest. The league's 9-page bylaws also stipulate that the loser has to refill everyone's beer glasses within one minute of request for a full night. It was a sweaty evening for Scheirer.

"It's better than the trophy...watching them squirm and having to just be the butt of all the jokes," said Solomonson, who is on edge since he's currently near the bottom of the standings.

Punishments have long

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When Self-Defense Kills Bystanders

Laws protect shooters who accidentally kill while lawfully defending themselves

By MARK MAREMONT

Kenneth Santana-Rodriguez brought along his 9mm handgun on a pedicure date with a woman at "A Touch of Beauty" nail salon in Holyoke, Mass.

They were sitting side by side when the father of the woman's child burst into the salon, demanding to know the nature of their relationship. Santana-Rodriguez told police the man raised his

shirt to reveal a firearm and said, *You know what's about to happen.*

Santana-Rodriguez pulled out his 9mm and shot twice. "It was him or me," he told police. Yet he missed his intended target, Irvin Sanchez. One bullet instead struck the chest of an employee who had been working on the woman's toenails, killing Trung "Michael" Tran, 33 years old. Prosecutors filed a

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How a Human Created A Virtual Movie Star

By ELLEN GAMERMAN

Tilly Norwood, an "actress" built with artificial intelligence, comes from humble beginnings, popping into the mind of Eline Van der Velden while the producer was in the restroom at London's private Groucho Club. By the time Van der Velden got home, her mind was made up:

She was going to make the first AI movie star.

Van der Velden shared her vision with ChatGPT, typing out a short description of her ideal candidate: "A stunning female celebrity with global appeal. She has symmetrical facial features, clear radiant skin, and captivating green eyes. Her hair is long."

Out came the first image of

Tilly—cartoonish, with puffy lips, kiwi-colored eyes and vague ethnicity. ChatGPT, perhaps drawing on data showing that there are far more dark-haired people in the world than blondes, decided to make her a brunette. Van der Velden, who is blonde and blue-eyed, took the note.

Every time she told AI to refine the face, a different one emerged. Tilly's new brown eyes were good, but then she had weird buck teeth. In one version, she looked no older than 14. In another, her eyelashes evoked those of a llama. Then her face looked like it had been dipped in melted butter. There were too many Tillys, none of them right. She was either too per-

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